RUBBER

Sapped of Strength

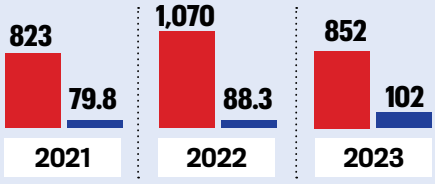
India exported rubber products worth $852 million (Rs 7,505 crore) to the US in 2023, comprising more than 20 per cent of India's total rubber product exports globally. India is also the second largest exporter of natural rubber in the world, exporting over 3.56 million tonnes of natural rubber in 2023. The major destinations for this are the United States, the Philippines and the Netherlands. Synthetic rubber exports, on the other hand, were worth $132 million (Rs 1,144 crore) in 2023.

THE IMPACT

Reciprocal tariffs by the US will put Indian rubber goods at a disadvantage vis-a-vis exporters like Vietnam and Turkey. Vietnam has recently offered a zero per cent tariff to the US, while Turkey faces only 10 per cent tariff. This will lead exporters from those countries to undercut Indian exporters. Media reports say that buyers in the US have asked Indian exporters to stop production of rubber goods for now. Arun Mammen, chairman of the Automotive Tyre Manufacturers Association (ATMA), has said that the tyre industry would diversify its export destinations. The US is the largest export market for Indian tyres with a 17 per cent share, followed by Germany at six per cent, Brazil at five per cent and the UAE at four per cent. ■

SIZE OF TRADE

Though rubber exports to the US hit a high in 2022, they have been over $800 mn (Rs 6,936 crore) ever since, and comprise 20 per cent of our total rubber exports



India's exports to the US ($ mn)
India's imports from the US ($ mn)

Source: TradingEconomics.com

TARIFF WAR

Earlier

0%

34.6%

Now

26%*

Unchanged

US India

(Average tariff)

**Paused for 90 days*

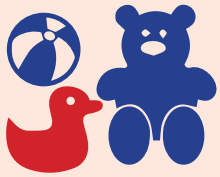


HOW TO COME OUT A WINNER

By **SHASHI SINGH,** *President, All India Rubber Industries Association, in a media interaction*

- **Increase customs duty on imported finished products to aid non-tyre manufacturers in the rubber sector**
- **India imports much of its synthetic rubber requirement, on which a tariff of 10 per cent is levied. This needs to be lowered**
- **India needs to lower its logistics costs for rubber products. This is crucial to compete with Turkey and Vietnam in the export market**

TOYS



NO CHILD'S PLAY

The United States is the largest market for toys in the world, consuming 30 per cent of the global production. In the past few years, there has been a push from India to increase domestic toy manufacturing by increasing customs duty up to 70 per cent and introducing quality control standards to ensure domestic players get a competitive edge. India's exports to the US are minuscule—in the range of $150-180 million (Rs 1,300-1,560 crore), as India has less than one per cent share in

TEXTILES



TIE LOOSE THREADS

The prospective reciprocal tariffs, if they kick in, may place India at a disadvantage vis-à-vis economies like Brazil, Mexico, Turkey and garment-exporting EU countries like Italy, Germany and Spain, as well as Egypt and the Dominican Republic who may build their capacity to take advantage of the new regime.

THE IMPACT

In the short term, buyers in the US may face a liquidity crunch and, hence, may try to renegotiate deals and seek discounts from Indian exporters. They were already asking Indian sellers to postpone deliveries by a month or two, hoping the